Cybercrime Case Study: UPI Payment Scam Among Students

With the increasing popularity of digital payment systems like UPI in India, managing money has become faster and more convenient than ever. Students, in particular, rely heavily on these platforms for daily transactions such as splitting expenses, paying bills, or buying and selling items online. However, this growing dependence has also made them easy targets for cybercriminals who exploit small gaps in awareness.

A common example of this scam can be seen when a student tries to sell a used item—like textbooks, headphones, or a mobile phone—on an online marketplace. After posting the item, they are contacted by someone who appears to be a genuine buyer. The conversation usually feels normal, and the buyer quickly agrees to the price without much negotiation, which helps build trust.

The scam begins when the buyer claims to send the payment through UPI. Instead of actually transferring money, they send a “collect request” to the student. At the same time, they may call or message the student, explaining that accepting the request is required to receive the payment. Since the student expects money, the request does not seem suspicious.

Trusting the process, the student approves the request and enters their UPI PIN. Within seconds, money is deducted from their account instead of being credited. By the time they realize what has happened, the scammer has already disappeared, often blocking further contact.

This type of fraud mostly targets college students and young adults who are comfortable using mobile apps but may not fully understand how payment requests work. First-time sellers and users who do not pay attention to transaction details are especially vulnerable.

The consequences go beyond just losing money. Victims often experience stress, regret, and a sense of embarrassment. In some cases, if personal details are shared, it can lead to further fraud attempts.

This case highlights the importance of basic digital awareness. Understanding that receiving money never requires entering a PIN can prevent such incidents. Being cautious and double-checking transaction requests can make a big difference in staying safe online.

Case Scenario :

Consider a scenario involving a college student who is trying to sell a second-hand item online through a marketplace. The student is contacted by a potential buyer who appears genuine and expresses interest in purchasing the item. The fraudster claims that they will transfer the payment via UPI and sends a "collect request" instead of actually sending money. The student receives a notification asking them to approve the request. The scammer convinces the student that approving the request is necessary to receive the payment. Trusting the buyer, the student enters their UPI PIN and approves the request. Instead of receiving money, the student unknowingly authorizes a debit transaction, resulting in money being transferred from their account to the fraudster.

Step-by-Step

1. The scammer contacts the victim through an online platform or social media.
2. They build trust by acting as a genuine buyer or bank representative.
3. A fake payment request or malicious link is sent to the victim.
4. The victim is misled into approving the request or sharing sensitive details.
5. The scammer gains access to the victim's funds and completes the transaction

Target Audience

- College students and young adults
- First-time users of digital payment apps
- Individuals unfamiliar with online fraud techniques
- Users who frequently engage in online buying/selling

Consequences of the Crime

- Immediate financial loss
- Emotional stress and anxiety
- Risk of further fraud if personal data is compromised
- Loss of trust in digital platforms

Preventive Insight

Understanding how UPI systems work is essential. Users must remember that:

- Receiving money does not require entering a PIN
- Approval requests always indicate outgoing payments
- No legitimate authority will ask for sensitive details like OTP or PIN

Conclusion

UPI payment fraud is a growing cyber threat, especially among college students. Awareness, vigilance, and basic knowledge of digital payment systems can significantly reduce the risk of such scams. By staying informed and cautious, students can safely benefit from digital financial services without falling victim to cybercrime.